

Teck Resources

NYSE: TECK

Current Price: **\$34.20 USD**

Recommendation: **BUY**

Target Price: **\$54.38 USD**

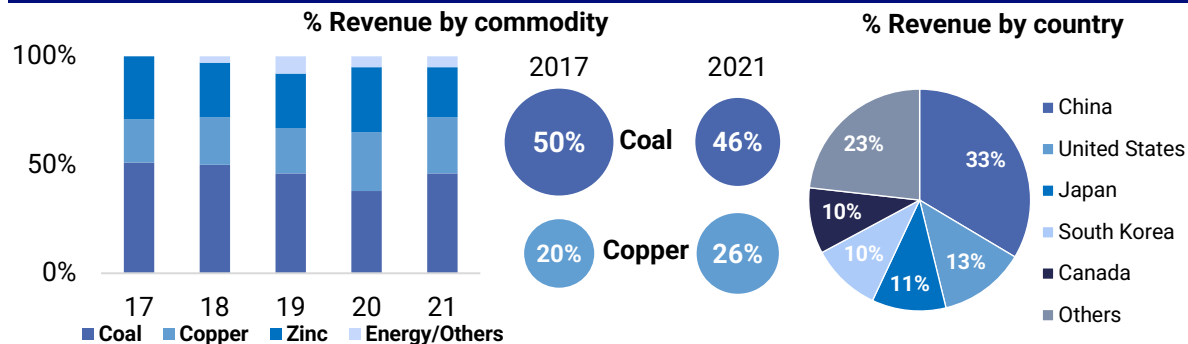
Upside: **59.02%**

Time Horizon: **3 Years**

Business Overview

Founded in 1906, Teck Resources is a **diversified mining company** specializing in zinc, copper and steelmaking coal. Teck is the 2nd largest seaborne exporter of steelmaking coal while also a global leader in zinc and copper production.

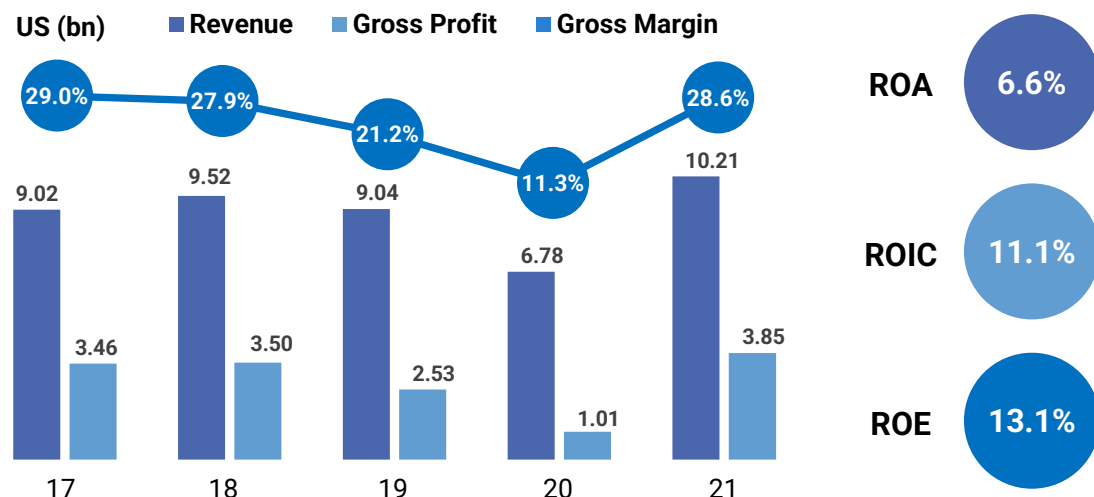
Revenue Breakdown



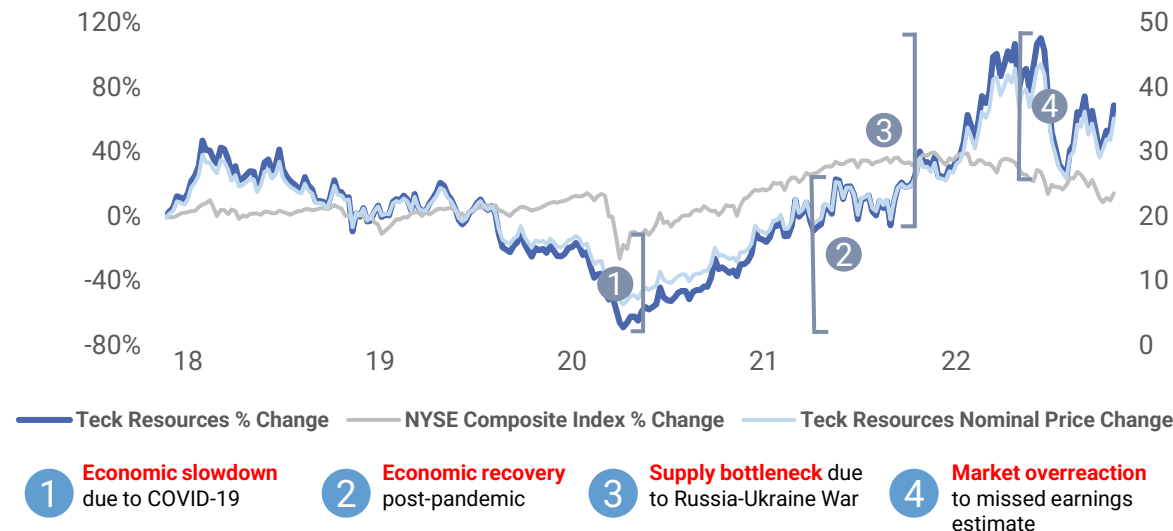
52-Week Key Operating Statistics

45.90 52-Week High (USD)	24.72 52-Week Low (USD)	0.91 P/TBV
529.5M Shares Outstanding	34.20 Share Price (USD)	18.85B Market Cap (USD)
23.60B Enterprise Value (USD)	3.41 EV/EBIT	1.18 5Y Regression Beta

Financial Performance



Share Price Change Chart

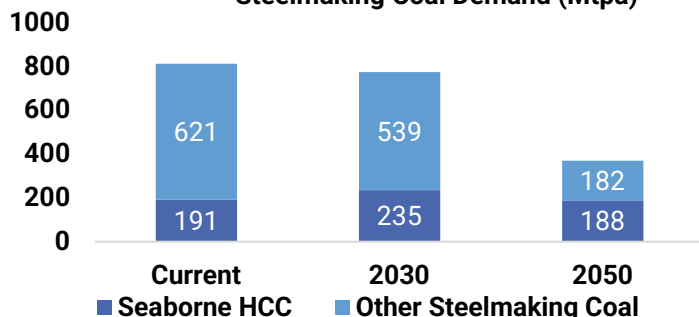


Industry Overview

A combination of the COVID-19 pandemic and the energy crisis has led to volatility in the market for these commodities in recent times. However, general macro trends indicate that coal is a sunset industry while copper will see sustained demand in the long term.

Coal will be progressively phased out...

Steelmaking Coal Demand (Mtpa)

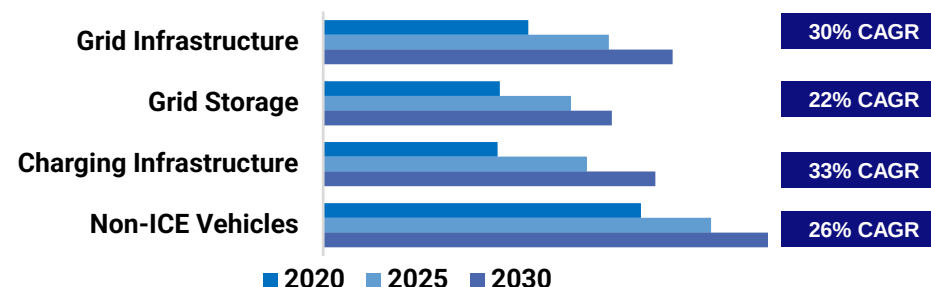


Long-term demand for steelmaking coal is **expected to decline** due to ramp up of steelmaking using natural gas and hydrogen.

However, demand for seaborne HCC is still expected to be resilient in regions e.g., India and SEA

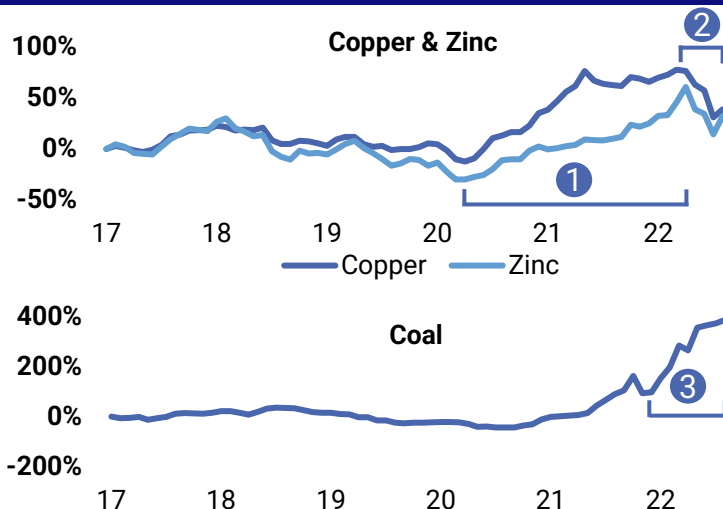
... while copper is a 'low carbon metal' of the future

Copper Demand (kt)



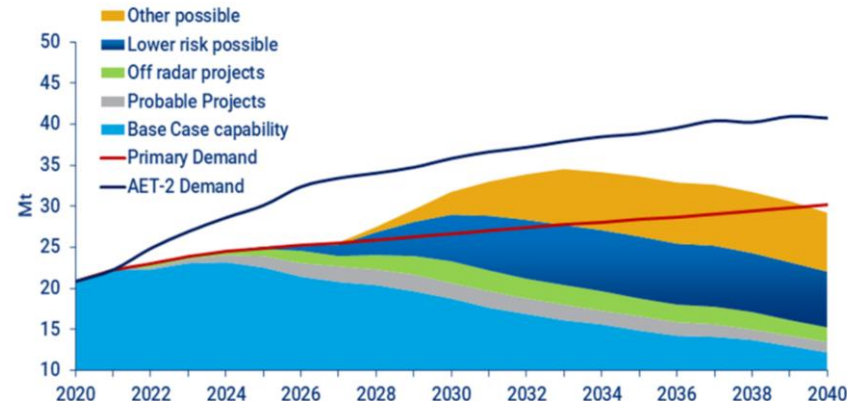
Copper demand forecasted to grow at **26% CAGR** by 2030 driven by decarbonization, population growth and rising middle class, across multiple end-uses.

Commodity Price Change Chart



- Supply bottleneck** during COVID-19 pandemic and the rise of the EV industry, caused prices to rally
- Recessionary fears** causing demand to fall
- Supply bottleneck** due to the Russia-Ukraine war caused a spike in coal prices

Primary copper demand scenarios versus mine supply potential



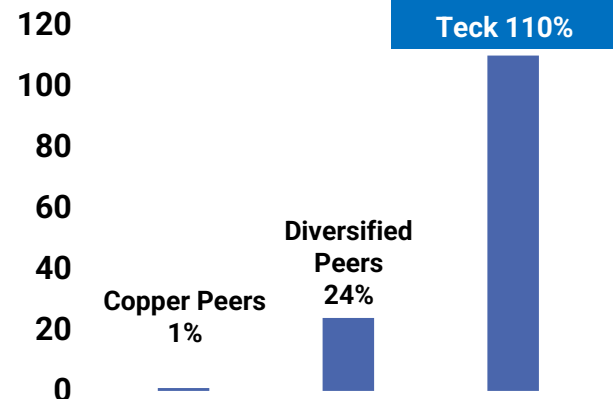
As **long-term supply is constricted** by a lack of investment and regulatory challenges, global supply-demand balance implies **a deficit by 2025**.

Teck's Transition to Copper

Teck Resources is investing in the right assets to leverage the **accelerated demand for essential metals and minerals in a low-carbon world.**

QB2 mine to double Teck's copper production...

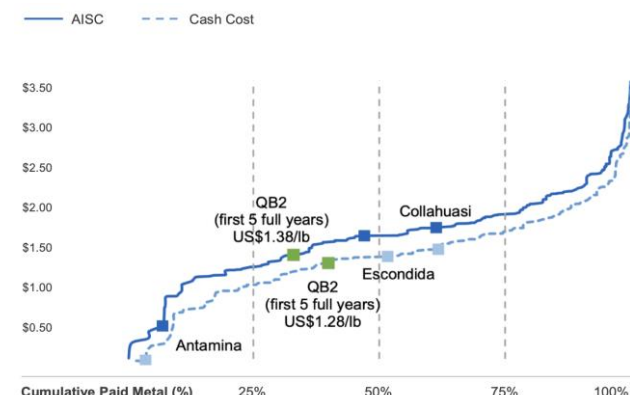
Consolidated copper production growth 2021A-2025E



- Quebrada Blanca 2 (QB2) in Chile (acquired in 2018)
- Only uses **~18% of total 2021 reserves and resources**
- Initial mine life of 28 years
- Large, long-life deposit capable of supporting multiple expansions
- Quebrada Blanca Mill Expansion (QBME) targeted for 2026 – potentially **one of the top 5 copper mines** in the world

... through industry-leading copper mines

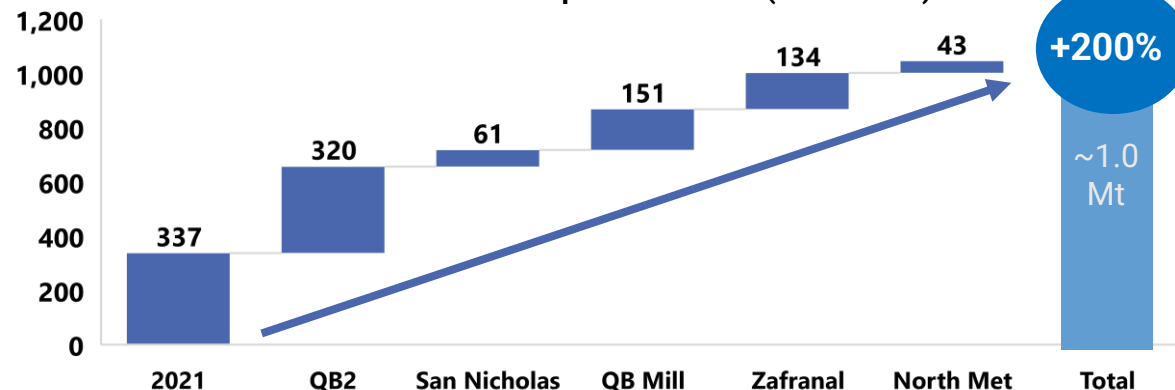
C1 Cash Cost & AISC Curve (US\$/lb, 2023E)



- Competitive, second-quartile, all-in sustaining costs (AISC)
- Very **low strip ratio of 0.7:1**
- In comparison with declining ore grades at older mines
 - E.g. At Escondida, production of copper concentrates and cathodes drop 6% due to higher-than-expected concentrator feed grade decline

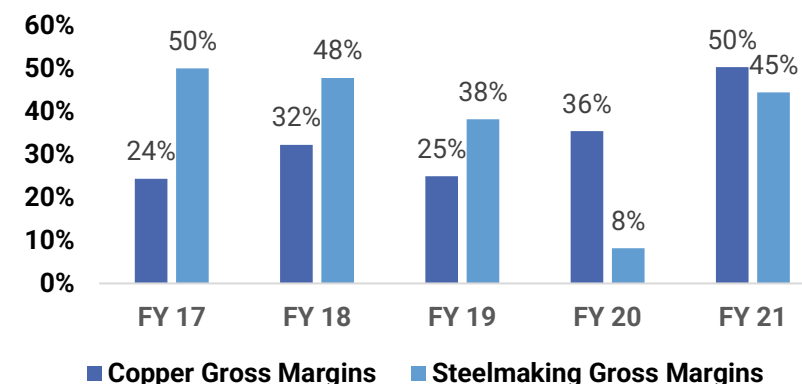
Pipeline of growth options in the near, medium and long term

Potential Annual CuEq Production/kt (2023-2028)

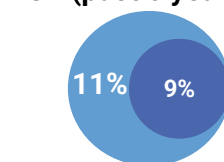


Playing to Teck's strengths - copper margins are less volatile than coal

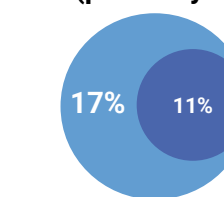
Margin comparison, copper vs coal



SD (past 5 years)

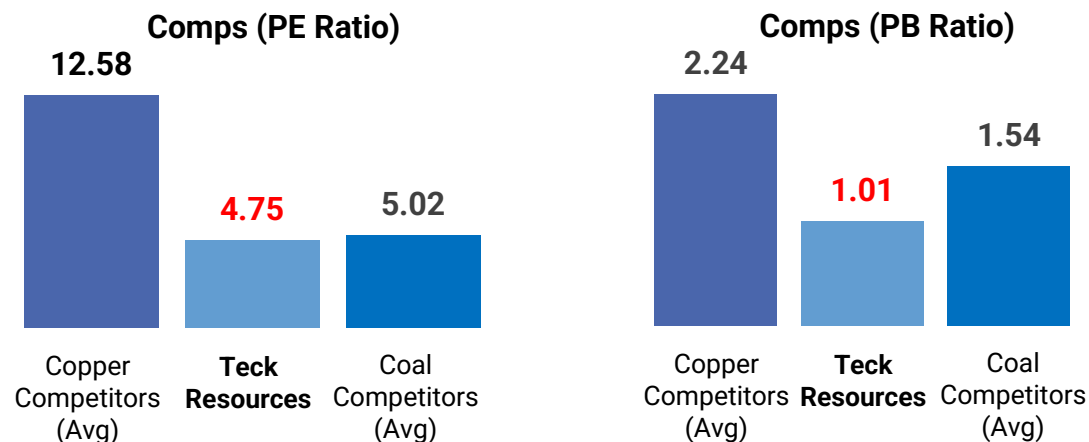


SD (past 10 years)



Market Consensus View on Teck

Market prices Teck closer to a coal, than a copper company



As such, market is pricing Teck based on:

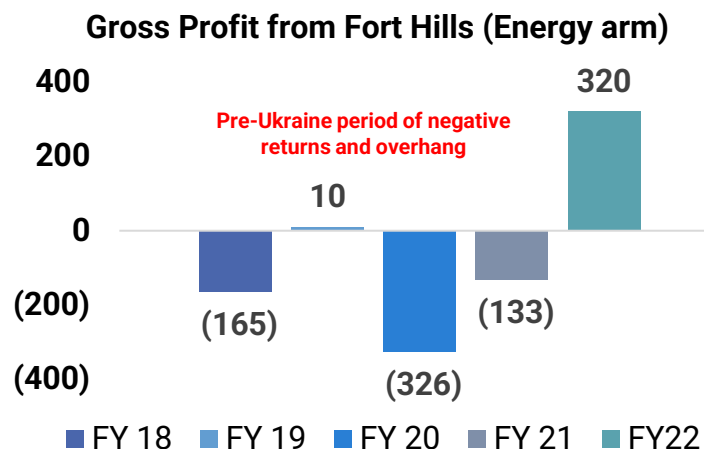
- 1 Teck's status as the world's second-largest exporter of steelmaking coal
- 2 Record high realised steelmaking coal prices of US\$453/ton driving YoY gross profit increase in Q2 2022
- 3 Delayed scaling up of copper production as QB2's first production is pushed back from Jan 2021 to Jan 2023 due to COVID-related disruptions

...and undervalues its green metal transition

Share price fell by **14.9%** after Teck sold its share in the Fort Hills Oil Sands Mine:

- Market reacted to the \$952-million one-time asset impairment charge related to this sale

BUT overlooked key factors:



"This transaction advances our strategy of pursuing industry leading copper growth and **rebalancing our portfolio of high-quality assets to low carbon metals.**"

– Jonathan Price, CEO, Q3 earnings call



In the long term, we are **pricing Teck Resources as a copper-dominant, green metal focused company**, which should trade at higher multiples since it is a value company with high growth potential from its copper transition.

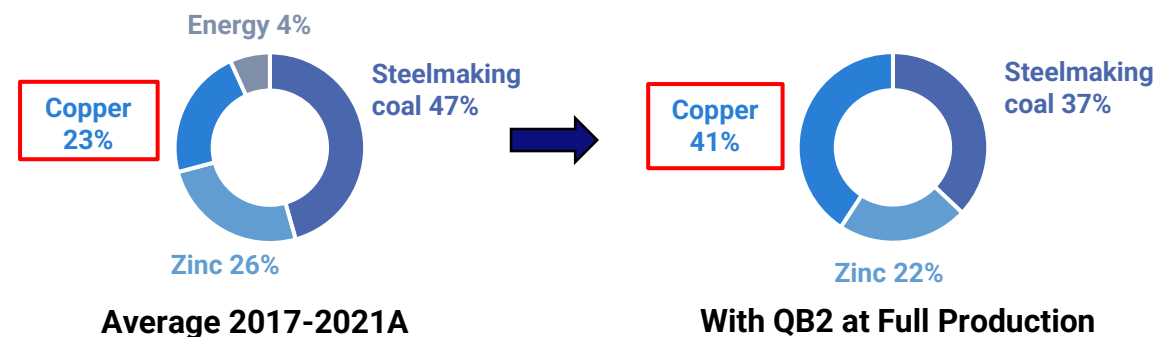
Thesis 1: Market misunderstands Teck's core business model

Market underestimates Teck Resources' rapid transition to a copper-dominant company, which will be fully realized in 2023.

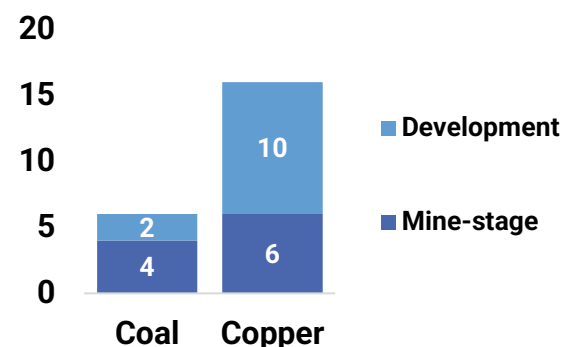
The future of Teck Resources' core business is **copper**, not coal

...evident by the clear investment priority placed in copper

Projected Revenue by Business Unit



Projects Count (Actual)



2017: Acquired AQM Copper

- Increased stake in the Zafranal copper-gold project to 80%

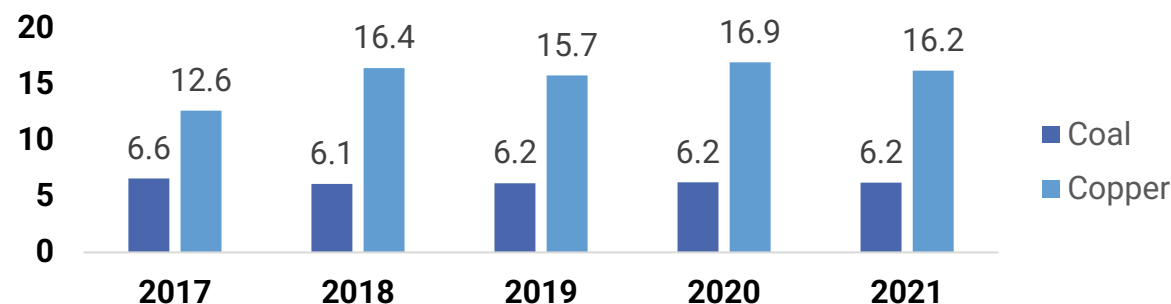
2018: Bought Inversiones Mineras' stake in QB2

- Increased stake in QB2 to 90%

2022: Joint venture with Agnico Eagle Mines

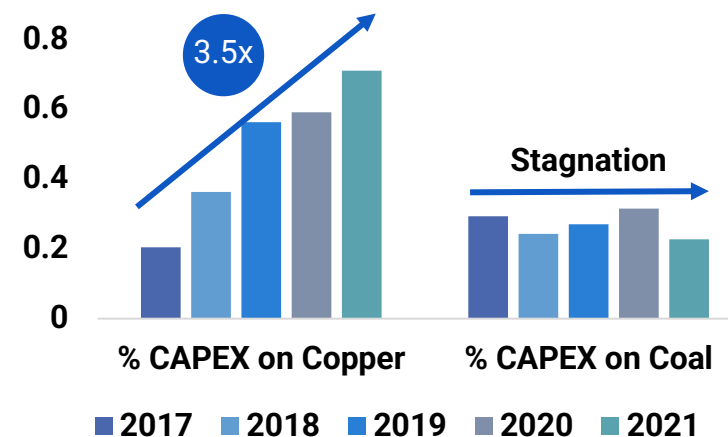
- 50% stake in the San Nicolás copper-zinc project

Reserves & Resources (Bt)



In the long term, we are **pricing Teck Resources as a copper-dominant company** given its commitment to copper production via short-term ramp up of QB2 and long-term pipeline of growth opportunities.

% CAPEX spent on copper vs coal



Growing intensity of investment in copper **heavily contrasts** the stagnation of CAPEX spent on coal

Thesis 2: Teck is poised for its transition despite short-term macro headwinds

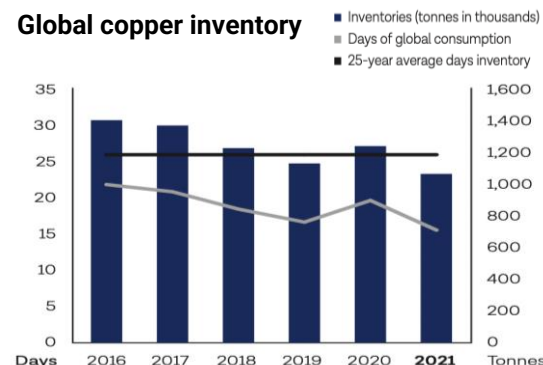
Despite the volatile macro environment, Teck is uniquely positioned to ensure a smooth transition to copper.

Copper demand will remain resilient due to thin inventories globally

Global copper demand remains strong even during recession (000's, metric tons)

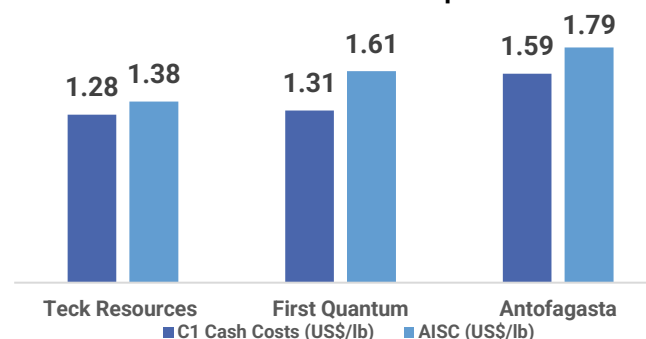
	2022	2025	2030	2035
No Recession	25,327	27,330	32,064	36,357
With Recession	25,197	27,128	32,345	36,043
Change	-0.51%	-0.74%	+0.88%	-0.86%

Global copper inventory



... and Teck's cost competitiveness provides it with an extra hedge

C1 cash costs vs other competitors

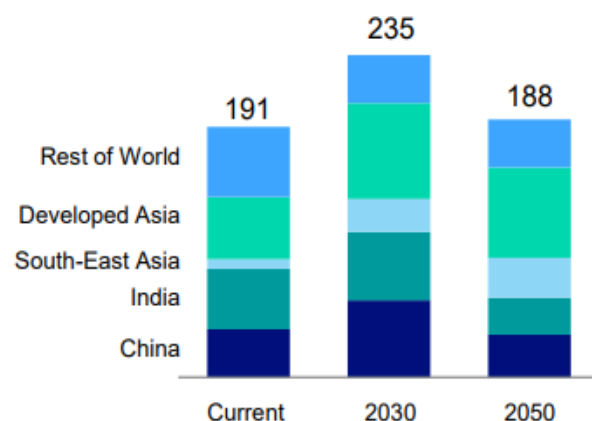


Teck's RACE21 technology transformation programme enhances operating costs

- Mine optimisation of ~\$450M
- Processing improvements of ~\$300M
- Integrated operations and maintenance of ~\$150M

In this transitional phase, coal remains as a strong safety net

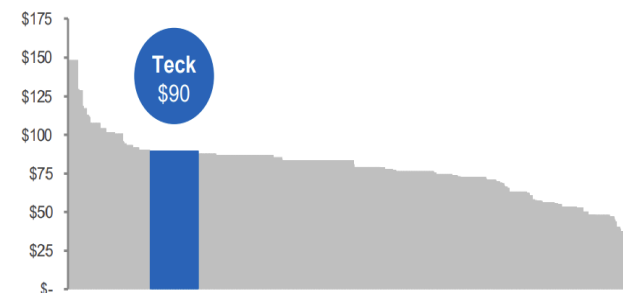
Seaborne steelmaking coal demand (Mtpa)



- Alternative technologies, such as hydrogen steelmaking, are not ready for large-scale adoption just yet
- **Seaborne hard coking coal (HCC) demand is expected to remain resilient** due to steel demand growth in regions that rely on lower-cost HCC imports (e.g., India and South-East Asia) for blast furnace steelmaking

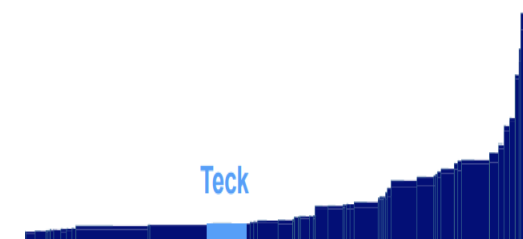
...and Teck maintains their competitive advantage in coal

Steelmaking coal operating margin curve (\$US/ t)



Pit to port integration of its Neptune port, increases coal export capacity from 10M tonnes to 20M tonnes/ year and lowers transportation costs

High quality, low CO₂ emitting coal (t CO₂e/t saleable coal)



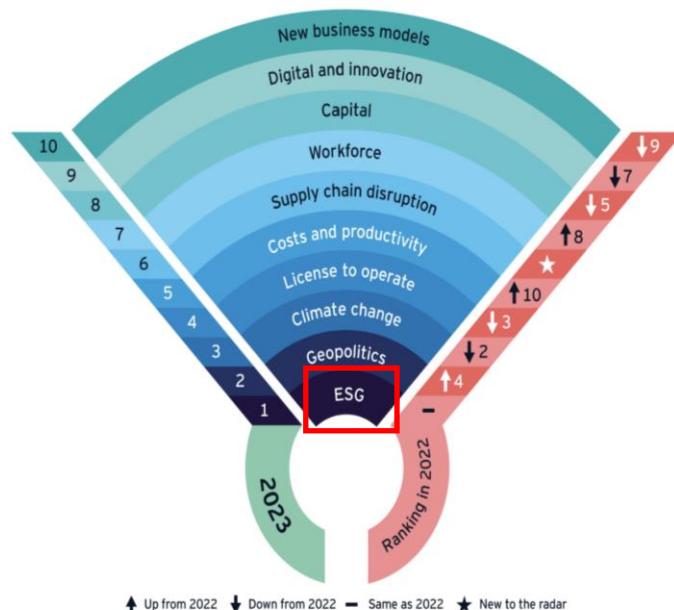
Teck's premium hard coking coal improves blast furnace efficiency and decreases CO₂ emissions per tonne of steel

Thesis 3: Teck is future-proofed through its industry-leading ESG values

Teck Resources' long-term commitment to sustainability provides a competitive edge over their competitors for climate transition in the mining industry.

ESG trends in the mining industry

EY'S 2022 Global Mining Survey on Top Business Risks



Case studies of mining licenses revoked

1

Alamos Gold

2021: Turkey revokes mining license of Alamos Gold due to construction of cyanide gold mine

2

Sibanye Stillwater

2022: South African mining union supports possible revocation of Sibanye's mining rights

3

Rio Tinto

2022: Serbia revokes Rio Tinto's Jadar Lithium mine license



"ESG is no longer optional or a point of differentiation; it is **the minimum operating standard**. Stakeholders are increasing the pressure, and strong social licenses, responsible divestitures and tax transparency will be important for success."

– PwC, Mine 2022: Critical Transition Report

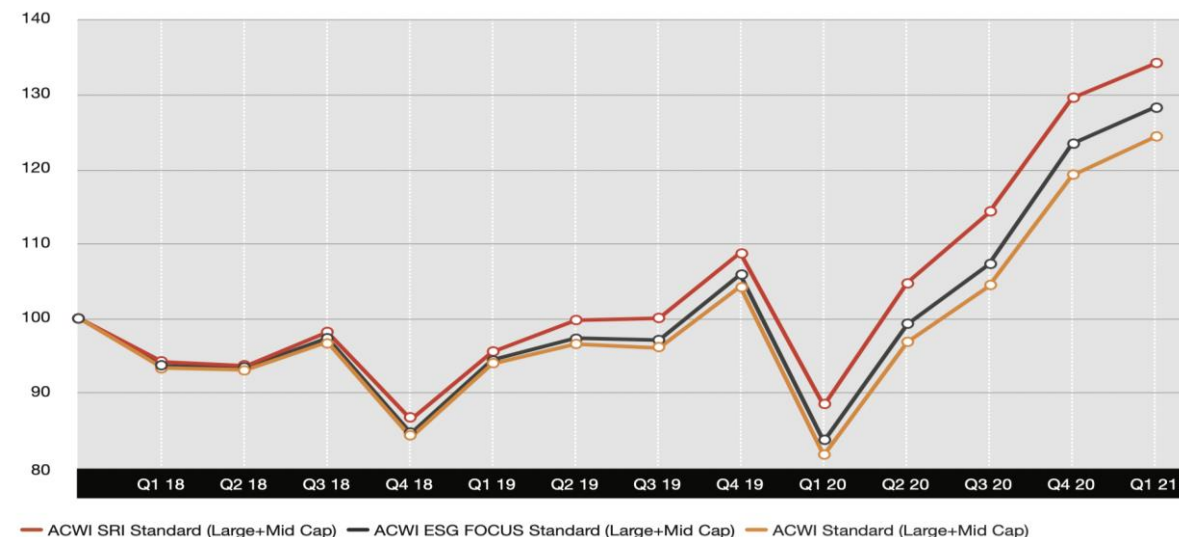
Teck's ESG commitment positions them well for emerging trends

- RMI rates leading mining companies' interactions with **mining-affected communities and community stakeholder** groups, especially women and indigenous
- Teck's strong ESG commitment positions themselves to obtain and renew the **license to operate** for new mines due higher expectations e.g., preserving cultural heritage, environmental concerns

Responsible Mining Index 2022

Companies	Average Mine Site Score
Teck	16%
BHP	14%
Antofagasta	7%
First Quantum	6%

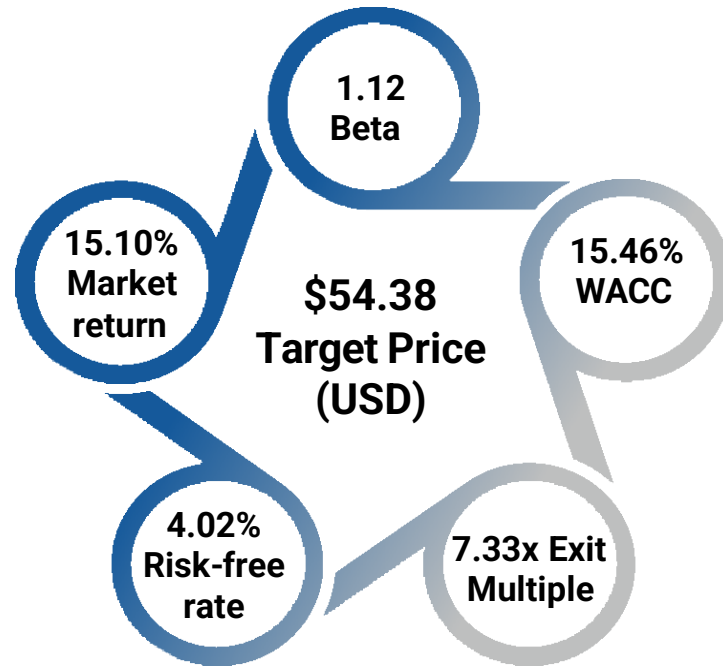
ESG-focused companies outperform their non-ESG focused peers



Valuation

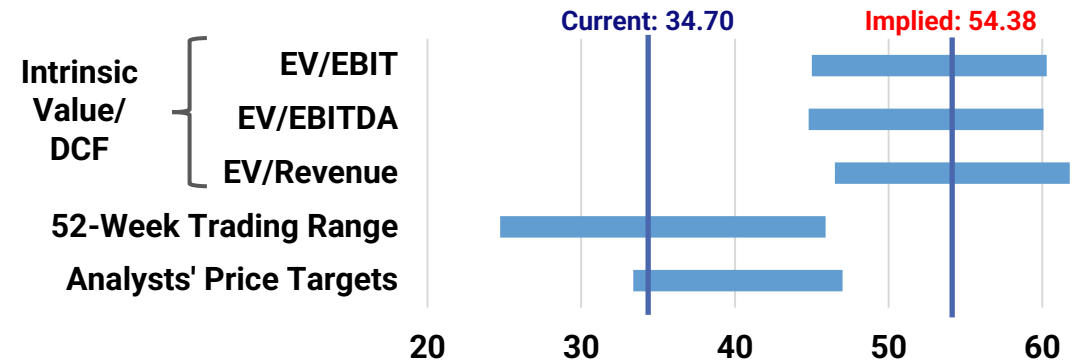
Our valuation of Teck utilizes 8% CAGR revenue projections and 3% CAGR cost projections. Being a capital-intensive company, we utilised an EV/ EBIT exit multiple to arrive at an implied fair value of USD \$58.38, representing a 59% upside from current levels, and 3-year IRR of 16.7%.

Discounted cash flow assumptions



Beta:	5Y Regression Beta for Teck and NYSE	WACC:	CAPM with 11.09% Equity Risk Premium
Risk Free Rate:	10Y US Treasury Note	Market Return:	S&P/ TSX Market Return
Exit Multiple:	Weighted average EV/ EBIT Multiple of other diversified, copper focused mining companies		

Football field chart suggests significant upside potential



Sensitivities of implied target price/ upside/ 3-year IRR

		WACC				
		13.5%	14.5%	15.5%	16.5%	17.5%
Exit Multiple	5.9x	\$45.7 / 33.6% / 10.1%	\$45.4 / 32.7% / 9.9%	\$45.1 / 31.8% / 9.6%	\$44.8 / 30.9% / 9.4%	\$44.5 / 30.1% / 9.2%
	6.6x	\$50.1 / 46.5% / 13.6%	\$49.8 / 45.6% / 13.3%	\$49.5 / 44.7% / 13.1%	\$49.2 / 43.8% / 12.9%	\$48.9 / 43.0% / 12.7%
	7.3x	\$55.0 / 60.8% / 17.2%	\$54.7 / 59.9% / 16.9%	\$54.4 / 59.0% / 16.7%	\$54.1 / 58.2% / 16.5%	\$53.8 / 57.3% / 16.3%
	8.1x	\$59.9 / 75.1% / 20.5%	\$59.6 / 74.2% / 20.3%	\$59.3 / 73.3% / 20.1%	\$59.0 / 72.5% / 19.9%	\$58.7 / 71.7% / 19.7%
	8.9x	\$65.3 / 90.9% / 24.0%	\$65.0 / 90.0% / 23.9%	\$64.7 / 89.1% / 23.7%	\$64.4 / 88.3% / 23.5%	\$64.1 / 87.4% / 23.3%

Risks, Mitigants and Catalysts

Risks & Mitigants

1 Coal prices plummet If Teck resource's transition does not go as planned, the company will suffer as coal is a sunset industry.	1 A lack of investment in new mines due to structural demand risks and the ongoing ESG overhang is likely to contribute to coal's market tightness during the transition process, pushing up coal prices.
2 QB2 faces further delays and requires more CAPEX QB2 has been struck with delays in the past and required additional CAPEX. Teck may thus have to be prepared to invest more capital into the project.	2 Current delays are largely due to the COVID-19 pandemic. As countries adjust to a new post-pandemic norm, this will pose little risk in causing further delays.
3 Change in Chilean fiscal regime and Constitution overwrite QB2 is located in Chile and the government recently introduced new royalty bills for mines operating in Chile.	3 Teck Resources has tax stability agreements in place which will shield the company's QB2 project from higher levies for the next 15 years.

Short Term

Medium Term

Long Term

China importing more copper from LATAM

In August 2022, China's copper imports increased by **26%** despite economic slowdown

Severe domestic copper supply interruptions in China have drove Y/Y growth in copper import **from the LATAM region**, where Teck's production mines are

Activist investor

With high levels of activism within the industry and Teck specifically, further ESG value will be unlocked

2020: Advocated to divest from fossil fuels

2022: Teck sold its stake in the Fort Hills Project (O&G)

QB2's full production

Copper transition will be priced in when QB2 production ramps up, inducing a rerating of Teck

Further rerates will occur as copper demand outstrips supply and as QB2 fully ramps up, which would **double Teck's current output**

Supply shortages

Current macro-outlook is projecting conservative copper prices

By **2025**, upon global economic recovery, copper's current pessimistic macro-outlook is expected to reverse

Analysts **estimates for copper prices are expected to surge** from 2025



Thank You!

Q&A

OAF Varsity Pitch Competition 2022

Ryuki Tamano, Natalie Lim, Teo Zhi Hao, Chong Min Han | London School of Economics and Political Science



Teck

Appendix 1: Teck's Operations and Other Information

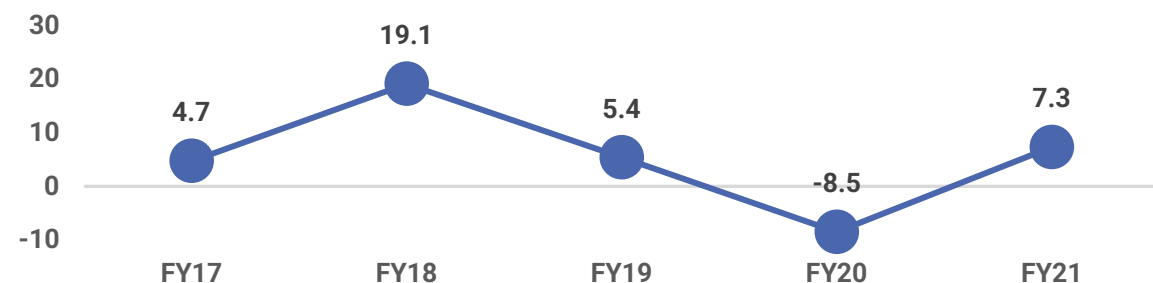
Distribution of Teck's Current Operations

Teck's Copper projects	Location	Production ('000 tonnes)
Highland Valley Copper	Canada	131
Antamina	Peru	100
Camen de Andacollo	Chile	45
Quebrada Blanca + QB 2	Chile	11 + (NA)

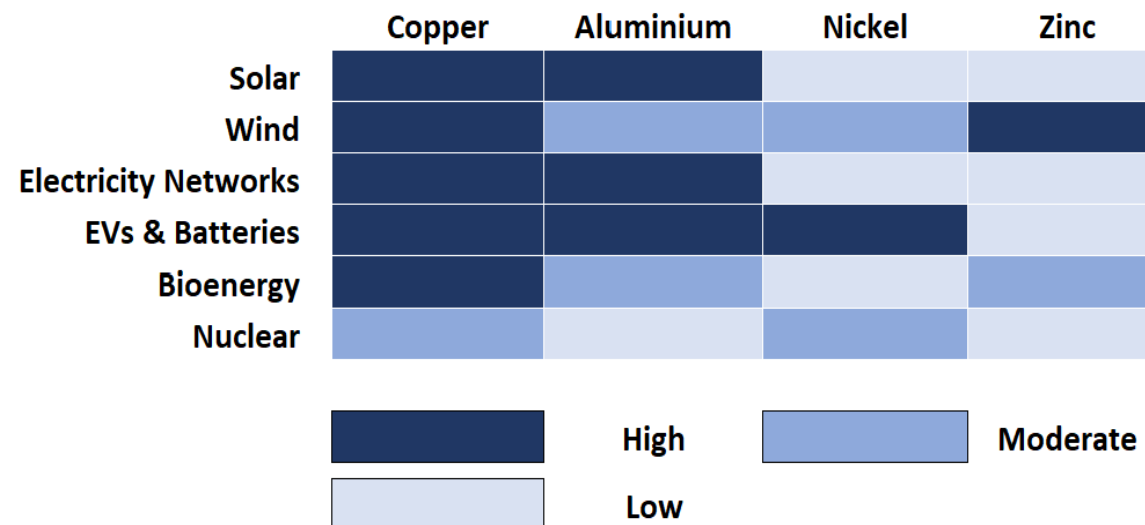
Teck's Zinc projects	Location	Production ('000 tonnes)
Red Dog	USA	503
Trail Operations	Canada	279
Antamina	Peru	104

Teck's Coal projects	Location	Production ('000 tonnes)
Mines in British Columbia	Canada	24,600

Cash Conversion Cycle



Copper among the most critical minerals needed for clean energy



Global Consumption Volume (Mt)

	2017	2018	2019	2020	2021
Copper	23.7	24.5	23.6	23.5	24.4
Zinc	14.0	13.7	13.8	13.3	14.0
Coal	5,374	5,443	5,367	5,154	5,462

Appendix 2a: Comparable Companies

Comparison of key copper mining assets

	Teck Resources (2023E)	First Quantum	Antofagasta	BHP (Diversified)
Financial Metrics				
Gross Profit Margin (LTM/%)	49.33	33.39	50.16	85.72
EBIDTA Margin (LTM/%)	52.03	45.63	50.99	57.56
Total Copper Production (kt)	287	816	721	1,573
Copper Assets				
Key copper assets	Quebrada Blanca 2 (QB2)	Cobre Panama	Los Pelambres	Escondida
Ownership	60%	90%	60%	57.50%
Start Up	2022	2019	2000	1990
Projected Mine Life (years) from 2021	28	34	13	58
Max Annual Copper Production (kt)	300	331	324	1,011
Copper Ore Grade (Resources)	0.510	0.378	0.500	0.513
Strip ratio	0.70:1	1.00:1	NIL	NIL
C1 cash costs	\$1.28/lb	\$1.31/lb	\$1.59/lb	NIL
All-in sustaining costs	\$1.38/lb	\$1.61/lb	\$1.79/lb	NIL

Comparison of gross profit margins

75.00%

50.00%

25.00%

0.00%

17

18

19

20

21

22

— Copper (Avg) — Coal (Avg) — Teck Resources

Despite the far greater upside to be realised when Teck fully transits to copper, its gross profit margins are already on par with its copper competitors.

Appendix 2b: Comparable Companies

Copper Dominant Competitors										
Company	Ticker	TEV/Total Revenues	TEV/EBITDA	TEV/EBIT	P/Tang Bv	P/E	EBIT Margin	ROA	ROC	ROE
		LTM	LTM	LTM	LTM	NTM	LTM	LTM	LTM	LTM
First Quantum Minerals Ltd.	TSX:FM	2.62	5.65	8.37	1.12	23.41	31%	6.0%	7.2%	11.3%
Lundin Mining Corporation	TSX:LUN	1.39	3.31	5.33	0.86	-	26%	9.1%	10.4%	15.4%
South32 Limited	ASX:S32	1.06	2.27	2.65	1.02	6.90	37%	14.8%	19.3%	27.1%
Ivanhoe Mines Ltd.	TSX:IVN	-	-	-	2.74	-	-	-2.1%	-2.2%	20.1%
IGO Limited	ASX:IGO	13.52	17.25	22.73	3.02	7.90	39%	-	5.8%	-
Boliden AB (publ)	OM:BOL	1.14	4.30	5.92	1.85	9.48	19%	11.6%	16.3%	23.9%
BHP Group Limited	ASX:BHP	1.93	3.26	3.82	2.88	8.37	50%	-	28.6%	-
Freeport-McMoRan Inc.	NYSE:FCX	2.47	5.65	7.38	-	20.23	33%	10.0%	14.4%	20.8%
Southern Copper Corporation	NYSE:SCCO	4.14	7.57	9.06	5.14	17.36	46%	16.3%	18.8%	32.7%
Antofagasta plc	LSE:ANTO	2.62	4.89	7.14	1.65	22.08	35%	0.0%	10.3%	0.0%
OZ Minerals Limited	ASX:OZL	4.34	10.50	15.05	2.26	26.72	29%	0.0%	8.2%	0.0%
KGHM Polska Miedz S.A.	WSE:KGH	0.69	3.19	4.54	0.76	-	15%	6.5%	9.3%	23.8%
High		13.5x	17.2x	22.7x	5.1x	26.72x	50.4%	16.3%	28.6%	32.7%
Mean		3.3x	6.2x	8.4x	2.1x	12.95x	32.8%	7.2%	12.2%	17.5%
Median		2.5x	4.9x	7.1x	1.8x	9.48x	33.3%	7.8%	10.3%	20.5%
Low		0.7x	2.3x	2.6x	0.8x	0.00x	15.3%	(2.1%)	(2.2%)	0.0%
Coal Dominant Competitors										
Company	Ticker	TEV/Total Revenues	TEV/EBITDA	TEV/EBIT	P/Tang Bv	P/E	EBIT Margin %	ROA	ROC	ROE
		LTM	LTM	LTM	LTM	NTM	LTM	LTM	LTM	LTM
NTPC Limited	NSEI:NTPC	2.47	8.76	12.89	-	9.22	19%	4.0%	5.0%	12.0%
China Coal Energy Company Limited	SEHK:1898	0.56	2.51	3.16	0.7x	-	18%	8.0%	11.0%	19.0%
Shaanxi Coal Industry Company Limited	SHSE:601225	0.92	2.42	2.88	2.2x	6.66	32%	17.0%	24.0%	43.0%
Anglo American plc	LSE:AAL	1.25	2.80	3.29	-	6.23	36%	-	17.0%	-
China Shenhua Energy Company Limited	SEHK:1088	1.39	3.86	4.63	1.1x	6.86	30%	11.0%	13.0%	19.0%
Rio Tinto Group	LSE:RIO	1.52	3.12	3.70	-	6.64	39%	-	21.0%	-
BHP Group Limited	ASX:BHP	1.92	3.25	3.82	2.9x	8.36	50%	-	29.0%	-
High		2.5x	8.8x	12.9x	2.9x	9.22x	50.0%	17.0%	29.0%	43.0%
Mean		1.4x	3.8x	4.9x	1.7x	7.33x	32.0%	10.0%	17.1%	23.3%
Median		1.4x	3.1x	3.7x	1.6x	6.76x	32.0%	9.5%	17.0%	19.0%
Low		0.6x	2.4x	2.9x	0.7x	6.23x	18.0%	4.0%	5.0%	12.0%
Teck Resources Limited	NYSE:TECK	1.5X	2.9X	3.4X	0.9x	7.55X	44.2%	11.5%	16.3%	18.8%

Appendix 3a: IS and Revenue Drivers

	Historical					Projected				
For the years ended December 31 (\$Cdn millions, except per share amounts)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Consolidated Statements of Comprehensive Income										
Revenue from products and services	11,910	12,564	11,934	8,948	13,481	13,716	13,684	14,331	18,702	18,851
D&A	1,492	1,483	1,619	1,510	1,583	1,745	1,762	1,779	1,802	1,825
Cost of products and services sold	5,851	6,460	6,975	6,105	6,817	6,769	7,166	7,522	7,842	8,130
Gross profit	4,567	4,621	3,340	1,333	5,081	5,202	4,757	5,030	9,058	8,897
<i>% Gross Margin</i>	38.35%	36.78%	27.99%	14.90%	37.69%	37.93%	34.76%	35.10%	48.43%	47.19%
General and administration	(116)	(142)	(161)	(132)	(174)	(188)	(187)	(196)	(256)	(258)
Impairment reversal (asset impairment)	163	(41)	(2,690)	(1,244)	215	-	-	-	-	-
Exploration	(58)	(69)	(67)	(45)	(65)	(78)	(1,083)	(1,021)	(1,199)	(1,088)
Research and innovation	(55)	(35)	(67)	(97)	(129)	(101)	(101)	(105)	(138)	(139)
Other operating income (expense)	(230)	450	(505)	(725)	(78)	340	339	355	463	467
Earnings (loss) from operations	4,271	4,784	(150)	(910)	4,850	5,176	3,725	4,062	7,929	7,879
Finance costs	(229)	(252)	(266)	(278)	(215)	(215)	(215)	(215)	(215)	(215)
Share of profit (loss) of associates and joint ventures	6	(3)	(3)	(1)	(3)	(1)	(1)	(1)	(1)	(1)
Finance income	17	33	48	10	5	5	5	5	5	5
Non-operating income (expense)	(151)	(52)	(97)	43	(105)	(72)	(72)	(72)	(72)	(72)
Earnings (loss) before income taxes	3,914	4,510	(468)	(1,136)	4,532	4,893	3,441	3,779	7,645	7,596
Recovery of (provision for) income taxes	(1,425)	(1,365)	(120)	192	(1,617)	(734)	(516)	(567)	(1,147)	(1,139)
Net earnings (loss)	2,489	3,145	(588)	(944)	2,915	4,159	2,925	3,212	6,499	6,457

Revised from analyst estimates, reflects conservativeness in estimates

		Historical					Projected				
USD/ CAD		1.30	1.30	1.33	1.34	1.25	1.304	1.304	1.304	1.304	1.304
	Units	2017A	2018A	2019A	2020A	2021A	2022	2023	2024	2025	2026
Copper											
Average realised price	(\$US/lb)	2.8	2.96	2.72	2.8	4.23	3.99	3.77	3.86	6.80	6.80
Average Realised price	(\$Cdn/lb)	3.64	3.85	3.62	3.75	5.29	5.21	4.92	5.04	8.87	8.87
Sales Volume	(million tonnes)	0.2991	0.32	0.31	0.29	0.30	0.30	0.52	0.53	0.56	0.58
Growth Rate	%		6.97%	-3.23%	-5.53%	1.26%	0.00%	3.00%	3.00%	5.00%	5.00%
Copper Revenue	CAD (\$million)	2,400	2,714	2,469	2,419	3,452	3,339	5,579	5,891	10,885	11,429
Growth Rate	%		13.08%	-9.03%	-2.03%	42.70%	-1.58%	64.22%	5.58%	84.78%	5.00%
Zinc											
Average realised price	(\$US/lb)	1.33	1.3	1.13	1.04	1.39	1.642	1.260	1.443	1.193	1.198
Average Realised price	(\$Cdn/lb)	1.729	1.69	1.50	1.39	1.74	2.14	1.64	1.88	1.56	1.56
Sales Volume	(million tonnes)	0.9172	0.83	0.90	0.89	0.80	0.86	0.84	0.81	0.79	0.77
Growth Rate	%		-9.46%	7.87%	-1.89%	-9.01%	0.00%	-3.00%	-3.00%	-3.00%	-3.00%
Zinc Revenue	CAD (\$million)	3,496	3,094	2,968	2,700	3,063	4,078	3,037	3,373	2,705	2,635
Growth Rate	%		-11.50%	-4.07%	-9.03%	13.44%	33.15%	-25.53%	11.05%	-19.80%	-2.60%
Steelmaking Coal											
Average realised price	(\$US/tonne)	174	187	164	113	209	200	160	158	157	146
Average Realised price	(\$Cdn/tonne)	226.2	243.1	218.12	151.42	261.25	260.80	208.66	205.56	205.31	190.38
Sales Volume	(million tonnes)	26.6	26.1	25.3	22.3	23.9	23.93	24.29	24.65	24.90	25.15
Growth Rate	%		-1.77%	-3.07%	-11.96%	7.35%	0.00%	1.50%	1.50%	1.00%	1.00%
Steelmaking Coal	CAD (\$million)	6,014	6,349	5,522	3,375	6,251	6,240	5,068	5,067	5,112	4,787
Growth Rate	%		5.57%	-13.03%	-38.88%	85.21%	-0.17%	-18.79%	-0.01%	0.88%	-6.34%

Appendix 3b: DCF

Discounted Cash Flow (CAD '000,000s)						
FCF Calculation	Historical	Projected				
	2021	2022	2023	2024	2025	2026
EBIT*(1-T)	3,545	3,783	2,723	2,970	5,796	5,760
(+) Depreciation & Amortisation	1,583	1,745	1,762	1,779	1,802	1,825
(-) Increase in working Capital	874	(184)	(45)	40	487	(12)
(-) Capex	4,046	4,573	4,563	4,778	6,235	6,285
Free cash flow to firm	208	1,140	(33)	(69)	875	1,311
Pv of FCFF		1,110	(28)	(51)	554	720

Valuation		DCF	Target	Upside	Key Assumptions
Valuation Using Exit Multiple		Base	\$54.38	59.02%	- Full ramp-up of QB2 by FY25 and strong copper prices in FY25 onwards - Consistent copper prices from FY23-24
Enterprise Value (CAD '000,000s)	38,921				
Net Cash (Debt) (CAD '000,000s)	(5,734)				
Non-controlling interest (CAD '000,000s)	(768)	Base	\$45.01	31.62%	- Lower than expected cost savings due to inflation - Slower ramp-up of QB2 - Weaker growth of copper prices
Equity Value (CAD '000,000s)	32,419				
Equity Value (USD '000,000s)	23,676				
Numbers of Shares Outstanding ('000,000s)	530	Bull	\$60.29	76.28%	- Faster than expected recovery from recession - Rapid recovery of commodity prices
Valuation Price:	\$44.71				
Current Price:	\$34.20				
Upside	30.74%				

WACC Summary	
Market Values	
Risk-free Rate (rf)	4.02%
Market Return (rm)	15.10%
Equity Risk Premium (rm - rf)	11.09%
Equity Values	
Adjusted Beta	1.1217
Cost of Equity (re)	18.79%
Market Cap (CAD)	24,796,516,770
Debt Values	
Pre-Tax Cost of Debt	5.35%
Effective Tax Rate	26.90%
After-Tax Cost of Debt	3.91%
Estimated Debt Value	7,161,000,000
Firm Values	
Estimated Firm Value (CAD)	31,957,516,770
Equity-to-Firm Value	77.59%
Debt-to-Firm Value	22.41%
WACC	
15.46%	